

Ref No.: BD-ACEPM-SAMCO-LET-025

Date: Tuesday, 27th of Tuesday 2026

To: SAMCO National Construction Company

Attention: Eng. Mohammed Sami Mohammed (Project Manager)

Project Name: The Big Business District

Contract/Package: Construction Works of the Civil Works for Buildings B1, B2, B3 and B4

Subject: Interpretation Regarding MEP First Fix Variation

Reference (S):

- | | |
|---|-----------------|
| 1) Contractor's Letter Ref. BD-CW-SAMCO-ACE-LET-041 | Dated 8-1-2026 |
| 2) Engineer's Letter Ref. BD-ACEPM-SAMCO -LET-019 | Dated 4-12-2025 |

Dear Sir,

With reference to the above-mentioned subject, the signed Contract, the referenced letter, the meeting held on site on 19 January 2026, and the contractual issues-related meeting held at the Employer's premises on 25 January 2026; the Engineer hereby provides a clear interpretation regarding the MEP first fix related Variation Order.

1. Contract Agreement Reference *"Whereas the Employer desires that the Construction of the Civil Works for buildings B1, B2, B3, and B4, along with the necessary **finishing works** and **installation of relevant works** at The Big Project, be executed by the Contractor in the manner prescribed in the Contract. The Contractor's Tender has been accepted for the completion of the Project, including the remedying of any defects therein"*

2. Sub-Clause 1.5 – Priority of Documents *"The Works shall include any **work** which is necessary to satisfy the requirements under the Contract or is implied by the Contract and all works which (**although not mentioned in the Contract**) are necessary **for stability or for the completion, or safe and proper operation of the Works.**"*

Accordingly, the Contractor is contractually obligated to execute all works which, although not expressly mentioned in the Contract, are necessary for stability, completion, or safe and proper operation of the Works, and in the manner prescribed in the Contract. The first fix works, including flange adapters and sleeves, fall within this obligation.

3. Sub-Clause 13.3 – Variation Procedure Particular Conditions *"During the review and negotiation of any Variation, **the Contractor shall not suspend performance of any work or variations (including the Variation at issue), except as may be directed by the Engineer.**"*, And General Conditions *"The Contractor shall execute and be bound by each Variation, **unless** the Contractor promptly gives notice to the Engineer stating (**with supporting particulars**) that the Contractor cannot readily obtain the **Goods required for the Variation.** Upon receiving this notice, the Engineer shall cancel, confirm or vary the instruction."*

It is therefore concluded that the Contractor is contractually obligated to execute the Variation Order unless the unavailability of goods is duly notified, or unless otherwise instructed by the Engineer.

4. Current Contractual Position The current contractual position remains unchanged: the Contractor is legally and contractually bound to execute the Variation Order in accordance with Sub-Clause 13.3. This letter is issued solely as a clarification and interpretation of the Contract provisions and does not constitute any waiver, amendment, or release of the Contractor's obligations.

This instruction is issued strictly in accordance with the Contract Agreement and the Particular Conditions, and without prejudice to the Employer's rights and remedies under the Contract, Egyptian law, and applicable codes. The Engineer's interpretation herein does not relieve the Contractor of any of its obligations under Sub-Clause 1.5, Sub-Clause 13.3, or any other provisions of the Contract. The Employer reserves all rights to enforce compliance, claim damages, or take any necessary measures should the Contractor fail to perform the instructed Variation.

Yours faithfully,
Eng. / Abdelaziz Mohammed.

ACE-PM
MOHARRAM BAKHOUM
THE BIG
Project Manager,
ACE Project Management

Attachment(s): Employer's Designer Codes
CC:

Eng. Mohamed Hamza - Projects Manager
Eng. Mostafa Gala - Owner representative
Eng. Ahmed Saafan – Project Controls Director
Eng. Ramy Refaat – Commercial Contracts Director
Eng. Osama Waly – PCO representative

